(47) **<u>Tentative Ruling</u>**

Re: ***Ermelinda Rodriguez v. Encompass Insurance Company***
Superior Court Case No. 24CECG02371

Hearing Date: August 19, 2026 (Dept. 502)

Motion: Respondent National General Insurance Company's and Respondent Encompass Insurance Company's Motion to Compel Arbitration and Appoint Arbitrator

Tentative Ruling:

To take off calendar. Neither party submitted a joint list of arbitrators for the court to select a list of five arbitrators within 15 days of the July 21, 2026 order, as per the July 21, 2026 order.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling
Issued By: <u>Img</u> on <u>8-18-26</u> .
(Judge's initials) (Date)

(37)

Tentative Ruling

Re: ***Boyajian v. Saint Agnes Medical Center***
Superior Court Case No. 25CECG04882

Hearing Date: August 19, 2026 (Dept. 502)

Motion: By Defendant Humangood Fresno dba The Terraces at San Joaquin Gardens to Compel Arbitration and Stay Civil Action

Tentative Ruling:

To grant defendant's motion to compel arbitration. To order this action stayed pending the completion of arbitration. (9 U.S.C § 3.)

Explanation:

A trial court is required to grant a motion to compel arbitration "if it determines that an agreement to arbitrate the controversy exists." (Code Civ. Proc., § 1281.2.) However, there is "no public policy in favor of forcing arbitration of issues the parties have not agreed to arbitrate." (*Garlach v. Sports Club Co.* (2012) 209 Cal.App.4th 1497, 1505) "Thus, in ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute." (*Mendez v. Mid-Wilshire Health Care Center* (2013) 220 Cal.App.4th 534, 541.)

The party moving to compel arbitration bears the burden of proving by a preponderance of the evidence the existence of an arbitration agreement. (*Fleming v. Oliphant Financial, LLC* (2023) 88 Cal.App.5th 13, 18; *Lane v. Francis Capital Management* LLC (2014) 224 Cal.App.4th 676, 683.) In order to determine whether an arbitration agreement exists, the court may need to assess the parties to any such agreement. (*Melchor Investment Co. v. Rolm Systems* (1992) 3 Cal.App.4th 587, 592.) After the moving party establishes the existence of an arbitration agreement between the parties, then the burden shifts to the opposing party to show that the agreement is otherwise unenforceable. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219.)

Here, plaintiff[1] has not challenged the existence of the arbitration agreement or her signature on such. Rather, plaintiff challenges whether she had authority to sign the agreement at issue, whether the Patient's Rights Act claims may be compelled to arbitration, whether the agreement is unconscionable, and whether the claims can be compelled to arbitration in light of a third party in the case which is not a party to the agreement.

[1] The court notes that the complaint was filed on behalf of plaintiffs Ralph Boyajian, SR and Mary Boyajian. Since the instant motion was filed, plaintiff Ralph Boyajian, SR passed away and Mary Boyajian has been named as successor-in-interest. The court will refer to plaintiff in the singular.

Authority

Plaintiff asserts that she lacked authority to sign the arbitration agreement. With her own declaration, plaintiff provides a Durable Power of Attorney ("DPOA") naming her. (Boyajian Decl., Exh. 1.) The DPOA provides "[g]enerally to do, execute, and perform any other act, deed, matter, or thing, that in the opinion of the agent ought to be done, executed, or performed in conjunction with this power of attorney, of every kind and nature, as fully and effectively as the principal could do if personally present." (Id. at sec. 18.) The DPOA explicitly restricts using the principal's assets, exercising trustee powers where the agent is a settlor and the principal is a trustee, and exercising ownership over life insurance policies the principal owns on the agent's life. (Id. at sec. 20.) None of these restrictions are at issue. The DPOA gave plaintiff expansive authority. The agreement at issue bears plaintiff's signature "on behalf of the Resident and as an Individual". (Isfeld Decl., Exh. A.) The court finds that plaintiff had authority to sign the arbitration agreement at issue, and did so, on behalf of Ralph Boyajian and herself.

Governing Law

The agreement explicitly states that it is to be governed by the Federal Arbitration Act ("FAA"). (Isfeld Decl., Exh. A, Art. 7.) Where a "state law prohibits arbitration of a particular claim … [t]he conflicting rule is displaced by the FAA." (*Valley View Health Care, Inc. v. Chapman* (E.D. Cal. 2014) 992 F.Supp.2d 1016, 1029.) Plaintiff asserts the Patient Rights Act claims cannot be compelled to arbitration. California law provides that Health and Safety Code section 1430 claims are not subject to arbitration. (*Fitzhugh v. Granada Healthcare & Rehabilitation Center, LLC* (2007) 150 Cal.App.4th 469, 474.) However, as the FAA governs here, the California Health and Safety Code provisions are preempted where they bar arbitration. (*Valley View Health Care, Inc. v. Chapman, supra*, 992 F.Supp.2d at p. 1029.)

Plaintiff also asserts that Code of Civil Procedure section 1281.2 provides this court with discretion to deny the motion to compel where a third party in the case is not a party to the arbitration agreement. While Code of Civil Procedure section 1281.2 does provide such authority, the arbitration agreement explicitly provides that California Civil Procedure Code section 1281.2, subdivision (c) is excluded from the agreement. (Isfeld Decl., Exh. A, Art. 6.)

As such, neither the Patient Rights Act claims nor the presence of a third party in this matter prevent the court from compelling arbitration.

Unconscionability

Plaintiff submits that the agreement is unenforceable because it is unconscionable. If the court finds as a matter of law that a contract or any portion of it was unconscionable at the time it was made, the court may refuse to enforce it, or may enforce the contract without the unconscionable provisions, or limit their application to avoid any unconscionable result. (Civ. Code § 1670.5, subd. (a).) There are two prongs considered in this analysis: procedural unconscionability and substantive unconscionability. Both must be present for a court to exercise its discretion to refuse to enforce an arbitration agreement under the doctrine of unconscionability. (*Armendariz* *v. Foundation Health Psychcare Services., Inc.* (2000) 24 Cal.4th 83, 113.) They need not be present in equal amounts; essentially a sliding scale is used, and where there is substantive unconscionability, less procedural unconscionability need be shown. (*Id.* at pp. 113-114.)

Procedural unconscionability has to do with the manner in which the contract was negotiated and the parties' circumstances at that time, and focuses on the factors of oppression or surprise. (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1327; *Martinez v. Master Protection Corp.* (2004) 118 Cal.App.4th 107, 113.) Oppression "arises from an inequality of bargaining power of the parties to the contract and an absence of real negotiation or a meaningful choice on the part of the weaker party." (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329.) "Surprise" involves the extent to which the supposedly agreed-upon terms are buried in an overly complex form; it deals with "the disappointed reasonable expectations of the weaker party. (*Harper v. Ultimo* (2003) 113 Cal.App.4th 1402, 1406.)

Plaintiff argues the agreement is procedurally unconscionable because it was presented on a "take it or leave it" basis. An agreement is adhesive where a standardized contract, drafted and imposed by the party with superior bargaining strength, gives the other party only an opportunity to adhere to the terms or to reject them. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 113.) Here, the agreement begins, in bold type font, "Residents shall not be required to sign this arbitration agreement as a condition of admission to this facility." (Isfeld Decl., Exh. A.) It also provided that it could be rescinded by written notice within 30 days of signing. (Id. at Art. 4.) Plaintiff has not demonstrated procedural unconscionability.

Substantive unconscionability exists if the terms of the agreement are overly harsh or one-sided, provisions which shock the conscience, are unduly oppressive, or unreasonably favorable to the party seeking to compel arbitration. (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 909.) Plaintiff argues the agreement is substantively unconscionable because the potential arbitration fees are exorbitant. An arbitration agreement may be substantively unconscionable where it requires payment of unaffordable arbitration fees. (*Penilla v. Westmont Corp*. (2016) 3 Cal.App.5th 205, 218.) Courts conduct a case-by-case analysis to determine whether there are prohibitive costs. (*Ibid*.) Courts cannot find arbitration costs unconscionable "absent a showing that [arbitration] fees and costs in fact would be unaffordable." (*Ibid*, quoting *Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 920.) Here, plaintiff has not made such a showing. Plaintiff has only asserted fees can range from $6,000 to $18,000 per day. Plaintiff has not demonstrated substantive unconscionability.

Plaintiff has not shown the arbitration agreement is unconscionable.

The motion to compel arbitration is granted. The matter is stayed pending arbitration.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling
Issued By: ___**lmg**___ **on** ___**8-18-26**___.
(Judge's initials) (Date)